part of their common stock price. After adjusting for corporate holdings, there is approximately $4 trillion in investible U.S. commercial real estate that is available, of which less than 7 percent is part of a publicly traded REIT.

Equity and Other Types of REITs

REITs are divided into three basic categories: equity, mortgage, and hybrid. Equity REITs are the only type that invests entirely in real estate properties. They are the purest form of real estate holding. Mortgage REITs do not own property directly. Instead, they finance properties through commercial loans. Mortgage REITs are basically a type of bond investment rather than a real estate investment. Hybrid REITs hold both properties and mortgages. As such, a hybrid REIT derives a portion of its return from the performance of properties and a portion from the performance of the mortgage portfolio.

The focus of this chapter on real estate is on isolating a unique asset class, that is, commercial properties. Consequently, the data in this book reflect the risk and return of only equity REITs. Data on mortgage REITs and hybrids are not included.

There are over 100 different equity REITs traded on the U.S. stock market. Those companies invest in a wide variety of properties, including shopping malls, office complexes, apartment buildings, and hotels. Investors who wish to own it all can purchase an index mutual fund of equity REITs that gives them an equity stake in tens of thousands of properties across the country.

The Performance of Equity REITs

The performance of equity REITs can be divided into two categories. The first is the performance of REIT share prices, and the second is the dividend payments and reinvestment return on the dividend. As long as REITs pay at least 90 percent of their taxable income out to shareholders in the form of a dividend, the company does not have to pay corporate tax on the earnings. For that reason, the majority of their performance comes from the dividend yield and reinvestment return on those dividends.

Figures 9-1 and 9-2 offer a graphic illustration of the importance of dividends to REIT investors. Figure 9-1 represents the growth of $1 invested in NAREIT equity price only. The chart does not include